

you are in debt, I encourage you to be honest with your spouse. There is no way one person alone can resolve a debt problem that affects two people.

If you're the offended party, try to control your reaction to any new revelation about your finances. Your response will often determine whether your spouse will be honest in the future.

If you are the offending party, you need to accept the risks involved with total honesty and lay all the finances out on the table (literally). Ultimately the truth will be revealed anyway, and the reaction will be worse, the longer it is delayed. Lying and deception are sins, and God has said there will be consequence for sin. He also promised that if we confess our sin, He is faithful to forgive us and cleanse us (see 1 John 1:9).

Step 2: A Budget

Once the creditor list is complete and accurate, the next step is to develop a budget that will tell you and the creditors how much you can pay them each month.

In the chart I have depicted a typical budget from couples who come to Crown Financial Ministries for budget coaching. The left side shows their budget based on their previous spending records.

The amounts on the right represent the new budget submitted to the creditors. Notice that the amount allocated for debts doesn't match the previous monthly total calculated from the creditor's chart. The only thing that can be done is to ask the creditors to accept a lesser amount for a period of time. Before that request can be made, however, we need to know how long that period will be. Often that depends on whether or not there are assets that can be sold and how long it will take to sell them. Also the option of a consolidation loan must be considered if it will satisfy all the creditors.

Obviously, creditors are not going to agree to a plan that provides them with no payments if there is no promise of an appreciable change in the future. But I have often seen creditors accept smaller